

HR POLICY MANUAL & KNOWLEDGE BASE

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Applicable To: All Full-time, Part-time, and Contract Employees

Confidentiality: Internal Use Only

1. INTRODUCTION & POLICY FRAMEWORK

1.1 Purpose of HR Policies

This Human Resources Policy Manual establishes a comprehensive framework governing employment relationships, compensation, benefits, leave management, workplace conduct, and career development. The policies outlined herein are designed to:

- Ensure legal compliance with Indian labor laws and international standards
- Promote fair and equitable treatment of all employees
- Maintain organizational integrity and professional standards
- Support employee well-being and work-life balance
- Facilitate transparent communication between management and employees
- Create a positive, inclusive, and productive workplace culture

1.2 Policy Scope

These policies apply to:

- All permanent full-time employees
- Part-time and contractual employees (with applicable modifications)
- Employees on probation or fixed-term contracts
- Interns and apprentices (where specifically noted)

Management reserves the right to modify, update, or discontinue any policy with 30 days' written notice to all affected employees.

1.3 Governing Legal Framework

This manual complies with:

- Industrial Disputes Act, 1947
- Payment of Gratuity Act, 1972
- Employees' Provident Fund and Miscellaneous Provisions Act, 1952
- Employees' State Insurance Act, 1948
- Income Tax Act, 1961
- Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013
- Persons with Disabilities Act, 2016
- Equal Remuneration Act, 1976

- Factories Act, 1948
- State labor laws and applicable local regulations

2. LEAVE MANAGEMENT POLICY

2.1 Leave Policy Overview

The organization provides comprehensive leave benefits to support employee well-being, health, and personal needs while maintaining organizational productivity. All leave is subject to operational requirements and prior approval.

2.2 Leave Accrual and Eligibility

2.2.1 Earning of Leave

Leave is earned on a calendar year basis (January 1 to December 31). The following leave types are provided to all eligible employees:

Leave Type	Annual Entitlement	Accrual Method	Eligibility
Annual Leave (Casual)	15 days	Monthly (1.25 days/month)	All employees after probation
Sick Leave	10 days	Monthly (0.83 days/month)	All employees after probation
Maternity Leave	26 weeks	As per MMPWA, 1961	Female employees
Paternity Leave	5 days	Per child	Male employees
Bereavement Leave	3 days	Per event	All employees
Emergency Leave	As needed	Special circumstances	All employees

2.2.2 Probation Period Leave

Employees on probation are entitled to:

- 5 days annual leave (after 3 months of service)
- Sick leave as applicable
- No encashment of leave upon probation completion

2.2.3 Eligibility for Leave Benefits

- **Full-time employees:** All leave benefits apply from first day of employment
- **Part-time employees:** Pro-rata basis according to working hours
- **Contract employees:** As per individual contracts and statutory requirements
- **Probationary employees:** Limited benefits as specified in section 2.2.2

2.3 Detailed Leave Types

2.3.1 Annual Leave (Casual Leave)

Entitlement: 15 days per calendar year

Accrual: 1.25 days per month

Advance Notice: Minimum 10 working days (5 days for emergency situations)

Approval Authority: Direct Manager/Department Head

Carry Forward: Maximum 10 days can be carried forward to next calendar year (30 June deadline)

Encashment:

- Maximum 5 days of earned annual leave can be encashed annually
- Encashed leave is paid at the employee's basic salary + dearness allowance
- Upon separation: All unused leave encashed at final settlement

Rules & Restrictions:

- Leave requests must be submitted through HR portal minimum 10 days in advance
- Leave cannot be taken immediately before or after public holidays without HOD approval
- Maximum 5 consecutive days without additional approvals
- Leave during critical business periods subject to manager discretion
- Employees cannot accumulate more than 25 days during a calendar year

Example Calculation:

- Employee joins on March 15, 2026
- Eligible for 9.375 days for remaining 2026 (March-December)
- Accrues 1.25 days per month from date of joining
- By December 31, 2026: 9.375 days available

2.3.2 Sick Leave

Entitlement: 10 days per calendar year

Accrual: 0.83 days per month

Purpose: Temporary illness, medical appointments, hospitalization, accident-related medical care

Medical Certificate:

- Required for absences exceeding 2 consecutive days
- Self-certification allowed for up to 2 days per year
- Additional documentation required for chronic illness claims

Approval Process:

- Self-approval for same-day/emergency situations with notification to manager

- Prior approval for planned medical procedures
- Post-hoc documentation within 3 business days

Carry Forward:

- Maximum 15 days can be carried forward to next calendar year
- Limit of 30 days total accumulation
- Only 5 days encashable per year for specific conditions (terminal illness, separation with medical reason)

Non-Transferable: Sick leave cannot be transferred to other employees

Example Scenario:

- Employee takes 3 days sick leave for surgery
- Requires doctor's certificate
- Remaining balance for year: 7 days
- Can carry forward 5 unused days to 2027

2.3.3 Maternity and Paternity Leave

Maternity Leave (Female Employees)

- **Entitlement:** 26 weeks (182 days) as per Maternity Benefit Act, 1961
- **Paid Leave:** 8 weeks before expected delivery + 8 weeks after delivery (fully paid)
- **Extended Unpaid:** 10 weeks additional unpaid leave available
- **Medical Documentation:** Hospital registration and pre/post-natal reports required
- **Tenure Requirement:** Minimum 6 months service required
- **Job Protection:** Position reserved; no termination during/within 3 months of maternity leave
- **Continuation of Benefits:** Health insurance and retirement contributions continue
- **Lactation Leave:** 6 months after return from maternity leave; 30 minutes per day
- **Second Maternity Leave:** Full entitlement for first two children only

Paternity Leave (Male Employees)

- **Entitlement:** 5 days per child (maximum 2 children)
- **Timing:** Can be taken within 6 months of child's birth
- **Paid Status:** Fully paid
- **Documentation:** Birth certificate required
- **No Approval Condition:** Approved automatically upon documentation submission

Adoption Leave

- Female: 12 weeks paid leave (similar to maternity)
- Male/Female (same-sex couples): 5 days paternity leave
- Medical and legal documentation required

Miscarriage/Stillbirth Leave

- 6 weeks paid leave
- Medical certification required

2.3.4 Bereavement Leave

Entitlement: 3 days per event

Applicable For:

- Spouse, children, parents, siblings, in-laws (direct relations)
- Extended to 5 days for parents/spouse
- Single day for distant relatives with manager approval

Documentation: Death certificate or obituary required

No Accumulation: Cannot be carried forward or encashed

Travel Time: Additional 1 day allowed if travel required (>500 km)

2.3.5 Emergency/Urgent Leave

Entitlement: As per business necessity and manager discretion

Usage: Sudden personal emergencies, urgent medical situations, family crises

Documentation: Supporting evidence required within 24 hours

Approval: Retroactive approval accepted for true emergencies

2.3.6 Floating Holidays

Entitlement: 2 floating holidays per calendar year

Purpose: Employee chooses dates to observe personal, cultural, or religious occasions

Advance Notice: Minimum 15 days

Accrual: Does not carry forward; must be utilized in calendar year

Usage: Cannot be combined with other leave types

2.3.7 Work-From-Anywhere (Remote Work) Periods

Entitlement: Up to 10 days per calendar year (for eligible roles)

Eligibility: Remote-capable positions only (approval by department head)

Purpose: Work from any location without using leave balance

Advance Notice: 5 working days

Approval Authority: Direct Manager

Not Counted As: Leave balance deduction

2.4 Leave Application and Approval Process

Step 1: Submission

- Employee logs into HR management system (48 hours in advance for planned leave)
- Fills leave request form with dates, type, and reason
- Attaches supporting documents if required

Step 2: Manager Review

- Manager reviews against team capacity and project timeline
- Can approve, reject, or suggest alternate dates within 24 hours
- Comments documented in system

Step 3: HR Verification

- HR verifies leave balance accuracy
- Confirms compliance with policy requirements

- Final approval or escalation to Head of Department

Step 4: Communication

- Confirmation email sent to employee and team
- Calendar updated automatically
- Replacement coverage communicated

Approval Timeline:

- Standard leave: 24-48 hours
- Emergency leave: Same day or next working day
- Public holiday adjacent requests: 5 working days
- Peak season requests: 10 working days advance notice

2.5 Leave Balance Management

Leave Portal Access:

- Real-time leave balance visible to all employees
- Historical leave data maintained for 3 years
- Annual leave statement provided by December 31

Annual Reconciliation:

- Conducted in November-December each year
- Discrepancies corrected within 15 days
- Disputed balances escalated to HR Director

Carry Forward Deadline: June 30 each year

Excess Leave Encashment: Balances exceeding carry-forward limits encashed in June

Separation Settlement: All unused leave encashed at final settlement (as per applicable law)

2.6 Leave During Notice Period

Notice Period Leave:

- Leave can be taken during notice period with manager approval
- Full leave benefits applicable
- Salary advance or final settlement adjusted accordingly

Leave During Severance:

- Employees on severance continue to accrue leave during notice period
- All leave encashed at final settlement

2.7 Exclusions and Restrictions

The following situations do not qualify for leave:

- Suspension periods (without pay)
- Unauthorized absences
- Absence due to non-compliance with company policies
- Strike/agitation periods

- Voluntary separation notice period (after resignation notice)
- Leave taken without approval

3. SALARY & COMPENSATION POLICY

3.1 Salary Structure Framework

3.1.1 Salary Components

The total compensation package includes the following components:

Fixed Compensation:

Component	Description	Frequency
Basic Salary	Core salary component (40-50% of CTC)	Monthly
Dearness Allowance (DA)	Cost of living adjustment	Monthly
House Rent Allowance (HRA)	Rent support (0-40% of basic)	Monthly
Conveyance Allowance	Travel cost reimbursement	Monthly
Special Allowance	Performance/role-based allowance	Monthly
City Allowance	Geographic location allowance	Monthly

Variable Compensation:

Component	Description	Frequency
Annual Bonus	Performance-based (0-100% of basic)	Annually (April)
Performance Incentive	Project/target-based reward	Variable
Retention Bonus	Special milestone bonus	As applicable

Non-Monetary Benefits:

Component	Description
Medical Insurance	Self + 2 dependents coverage
Provident Fund	Employer contribution 12%
Gratuity	Lump sum on separation
Employee Stock Options	Long-term wealth creation (Senior roles)

3.1.2 Salary Structure Example

Senior Software Developer (Bangalore)

Component	Amount (Monthly)	Annual
Basic Salary	₹60,000	₹720,000
Dearness Allowance (8%)	₹4,800	₹57,600
HRA (20% of Basic)	₹12,000	₹144,000
Conveyance	₹2,400	₹28,800
Special Allowance	₹8,000	₹96,000
City Allowance (Bangalore)	₹5,000	₹60,000
Total Fixed	₹92,200	₹1,106,400
Annual Bonus (60% of Basic)	—	₹432,000
Cost to Company (CTC)	—	₹1,538,400
In-Hand Salary (approx)	₹75,000-78,000	—

Deductions:

- EPF Contribution (12% of basic): ₹7,200/month
- Income Tax (as per slab): ₹8,000-15,000/month
- Professional Tax (state-specific): ₹0-300/month
- Medical Insurance Premium: Nil (employer paid)
- Voluntary deductions: As applicable

3.2 Salary Principles

3.2.1 Equal Pay for Equal Work

- Employees in same role with same competencies receive comparable compensation
- Transparent pay bands defined for each position
- Salary gaps documented and justified only for legitimate performance differences
- Regular audits conducted to ensure pay equity

3.2.2 Market-Competitive Compensation

- Annual salary benchmarking against industry standards
- Position levels aligned with current market rates
- Geographic salary differentials applied based on location

3.2.3 Merit-Based Increases

Salary Review Cycle: Annual (April-May)

Review Criteria:

- Performance rating (40%)
- Contribution to organizational goals (30%)
- Promotions and role changes (20%)
- Market adjustment (10%)

Increase Range: 0-20% based on performance and market

Example:

- Performer with rating 4.5/5: 12-15% increase
- Average performer with rating 3/5: 5-8% increase
- Under-performer with rating 2/5: 0-3% increase

3.3 Salary Review & Appraisal Process

3.3.1 Annual Appraisal Cycle

Timeline:

- January-February: Goal setting and planning
- March-April: Mid-year progress reviews
- August-September: Mid-year adjustments
- November-December: Annual review and feedback
- April: Salary effective date for changes

Appraisal Components:

- Performance against KPIs (40%)
- Competency assessment (30%)
- 360-degree feedback (from managers, peers, direct reports)
- Project contribution and impact
- Behavioral and cultural fit
- Learning and development activities

Rating Scale:

- 5: Exceeds Expectations (Top 10%)

- 4: Meets Expectations (Top 40%)
- 3: Meets Competency (Core 40%)
- 2: Below Expectations (Bottom 10%)
- 1: Unacceptable (Performance Improvement Plan required)

3.3.2 Performance Improvement Plan (PIP)

Trigger: Two consecutive ratings below 3

Duration: 60 days minimum

Components:

- Written performance expectations
- Weekly progress reviews
- Management coaching
- Clear success criteria
- Consequence (performance improvement, role change, or exit)

Post-PIP Decision:

- Successful: Return to normal performance management
- Partial: 30-day extension or role reassignment
- Unsuccessful: Separation with appropriate notice/severance

3.4 Bonus & Incentive Policy

3.4.1 Annual Bonus

Eligibility:

- Employees completed minimum 6 months service in the calendar year
- Active employment status on bonus distribution date
- No active disciplinary action or suspension

Calculation:

- **Bonus Base:** Last drawn basic salary
- **Bonus Percentage:** 0-100% of basic salary based on:
 - Company financial performance (40% weightage)
 - Department performance (40% weightage)
 - Individual performance rating (20% weightage)

Distribution Timeline:

- April 15: Bonus paid with first salary of financial year
- Prorated for employees joining mid-year

Bonus in Exit:

- Resignation: Bonus forfeited if notice given after March 31
- Termination for cause: Bonus forfeited
- Termination without cause: Prorated bonus paid
- Retirement: Full bonus paid

3.4.2 Project-Based Incentives

Eligibility: Employees on project-based compensation structure

Criteria: Delivery metrics, quality benchmarks, timeline adherence

Cap: Maximum 50% of monthly salary

Frequency: Monthly/Quarterly based on project duration

3.4.3 Sales & Target-Based Incentives

Commission Structure: 0-30% of salary based on revenue target achievement

Payment: Monthly in arrears

Clawback Clause: 3-6 months clawback for non-compliance/disputes

3.5 Allowances & Reimbursements

3.5.1 House Rent Allowance (HRA)

Calculation: 0-40% of basic salary based on location

- Tier-1 cities (Delhi, Mumbai, Bangalore): 40%
- Tier-2 cities (Pune, Hyderabad, Chennai): 30%
- Tier-3 cities and towns: 20%
- Home town: 0% (no HRA)

Documentation: Rent agreement and proof of rent payment

Tax Treatment: Exempted up to specified limit under Income Tax Act

3.5.2 Conveyance Allowance

Fixed Monthly Amount: ₹1,500-2,500 (varies by location)

Alternative: Actual commute reimbursement up to limit

Usage: Personal vehicle, public transport, or company cab

3.5.3 Professional Development Allowance

Entitlement: ₹5,000-15,000 per annum

Usage: Training courses, certifications, conference attendance

Approval: Department head and HR

Carryover: Does not carry forward; annual allocation only

3.5.4 Internet & Mobile Allowance

Internet: ₹1,000-2,000/month (for remote-eligible employees)

Mobile: ₹1,000-2,000/month (for client-facing roles)

Proof: Monthly bills required

Alternate: Actual expense reimbursement up to limit

3.5.5 Special Allowances

- **IT Allowance (Tech roles):** ₹2,000-5,000/month
- **Leadership Allowance (Managers):** ₹5,000-15,000/month
- **Night Shift Allowance:** 25% of basic salary
- **On-Call Allowance:** ₹3,000-8,000/month for on-call roles

3.6 Reimbursement Policy

3.6.1 Eligible Reimbursements

Travel:

- Business travel: Actual fares (economy class limit)
- Meal allowance: ₹500-1,000 per day depending on location
- Hotel: Star category limits based on city and seniority
- Local transport: Actual receipts up to ₹300/day

Business Expenses:

- Client entertainment: Limit ₹2,000 per event
- Office supplies: Actual with receipts
- Conference registration: As approved
- Training materials: As approved

Personal Reimbursements:

- Medical expenses: As per medical insurance limits
- Relocation expenses: Up to 3 months basic salary (one-time)
- Equipment (laptop, phone): As per allocation policy

3.6.2 Reimbursement Process

Submission: Within 30 days of expense

Documentation: Original bills/receipts mandatory

Approval: Manager review within 3 working days

Payment: Within 10 days of approval via salary or direct transfer

Late Submission: Not reimbursed if submitted beyond 90 days

3.7 Salary Advance Policy

Eligibility: Minimum 1 year service

Maximum Amount: Up to 50% of monthly salary

Interest: 0% (non-interest bearing)

Repayment: Over next 3 months in equal installments

Frequency: Maximum 2 advances per financial year

Approval: HR Manager approval based on submitted reason

Example:

- Basic salary: ₹60,000
- Advance requested: ₹20,000
- Repayment: ₹6,667 × 3 months deducted from salary

4. BENEFITS & WELLNESS POLICY

4.1 Health Insurance

4.1.1 Medical Insurance Coverage

Employer-Provided Policy:

- Coverage: Self + spouse + up to 2 children
- Annual limit: ₹5-10 lakhs (varies by role)
- Network hospitals: Pan-India coverage (1000+ hospitals)
- Cashless treatment: Supported at network hospitals
- Claim settlement: Within 10-15 working days
- Pre-authorization: Required for hospitalization >48 hours

Coverage Inclusions:

- Hospitalization (general ward standard)
- Medical emergencies
- Surgical procedures
- Diagnostic tests
- Maternity (after 12-month waiting period)
- Critical illness (optional add-on)
- Dental (preventive only, up to ₹5,000/year)
- Vision (optional, up to ₹3,000/year)

Coverage Exclusions:

- Pre-existing conditions (1-2 year waiting period)
- Cosmetic procedures
- Treatment abroad (except emergency)
- Fertility treatment
- Substance abuse treatment
- Self-inflicted injuries

4.1.2 Eligibility & Enrollment

Eligible Employees:

- Full-time permanent employees on day 1 of employment
- Part-time employees (prorated cover)
- Probationary employees (covered)

Enrollment Period:

- Automatic for all eligible employees
- Open enrollment in January for dependent additions/changes
- Policy year: April 1 to March 31

Dependent Addition/Removal:

- Newborn: Added automatically on proof of birth
- Marriage: Added within 30 days of marriage certificate
- Divorce/Separation: Removal on court order
- Death: Removal on death certificate

4.1.3 Employee Wellness Programs

Preventive Health:

- Free annual health check-up (over 35 years)
- Vaccination programs (flu, COVID-19, etc.)
- Mental health counseling (3 free sessions/year)
- Fitness programs: Subsidized gym memberships (up to ₹2,000/month)
- Nutrition counseling: Quarterly sessions
- Health workshops: Monthly on stress management, nutrition, fitness

Mental Health Support:

- Employee Assistance Program (EAP): 24/7 counseling
- Stress management training: Quarterly
- Work-life balance initiatives: Flexible hours, remote work options

Occupational Health:

- Ergonomic workstation assessment
- Occupational health assessment (high-risk roles)
- Vision testing: Annual for desk workers
- Hearing assessment: For factory/high-noise environments

4.2 Retirement Benefits

4.2.1 Provident Fund (PF)

Employer Contribution: 12% of basic salary + DA

Employee Contribution: Mandatory 12% of basic salary + DA

Interest Rate: Notified by government quarterly

Withdrawal Rules:

- Partial withdrawal: 50% of balance (age 55, emergencies)
- Full withdrawal: Upon separation or retirement
- Loan: Upto 50% for specified purposes

Maturity Benefit: Paid as lump sum upon retirement or separation

Example (Monthly):

- Basic Salary + DA: ₹60,000
- Employer PF: ₹7,200
- Employee PF: ₹7,200
- Total monthly contribution: ₹14,400

4.2.2 Gratuity

Eligibility: 5 years of continuous service

Calculation: (Last drawn salary × Number of years of service) / 2

- Maximum ₹20 lakhs as per law

Payment:

- Upon retirement: Full gratuity
- Upon separation: As per service period
- Upon death: Paid to nominee/legal heir

Example:

- Final basic salary: ₹60,000
- Service period: 10 years
- Gratuity = $(60,000 \times 10) / 2 = ₹3,00,000$

4.2.3 Superannuation Scheme (Optional)

Type: Defined Contribution retirement plan

Eligibility: Employees with 10+ years service or age 55+

Employer Match: Up to ₹50,000 per year (if opted)

Vesting: Immediate upon enrollment

Tax Benefits: Deductible under Section 80C/80CCE

4.3 Income Protection & Financial Benefits

4.3.1 Group Personal Accident Insurance

Coverage Amount: ₹25-50 lakhs (varies by role)

Covers: Accidental death, permanent disability, temporary disability

Waiting Period: None

- Death benefit: Paid to nominee within 15 days
- Disability benefit: Determined by medical assessment

4.3.2 Term Life Insurance

Eligibility: Employees age 18-60 years

Coverage: ₹15-50 lakhs based on salary

Premium: 100% employer-paid

Nominee: Employee-designated beneficiary

Claim Settlement: Within 7 working days of documentation

4.3.3 Critical Illness Cover (Optional)

Coverage Amount: ₹10-25 lakhs

Critical Illnesses: Cancer, heart attack, stroke, organ failure, etc.

Waiting Period: 30 days

Claim Amount: Paid directly to employee/nominee

4.4 Family Support Benefits

4.4.1 Dependent Child Education Allowance

Eligibility: Children of employees age 5-25 years

Annual Allowance: ₹10,000-25,000 per child (max 2 children)

Usage: Tuition fees, books, transportation, hostel fees

Documentation: School/college enrollment certificate and fee receipts

4.4.2 Employee Marriage Assistance

Eligibility: Employees age 21-60 years

Assistance: ₹50,000-1,00,000 (one-time)

Conditions: Notification to HR 30 days in advance

Usage: Marriage-related expenses

Timing: Provided 1 month before marriage date

4.4.3 Employee Birth Assistance

Eligibility: All employees (dependent birth)

Assistance: ₹15,000-25,000 per child (max 2 children)

Timing: Provided within 6 months of birth

Documentation: Birth certificate required

4.5 Wellness Programs & Recreation

4.5.1 Sports & Recreation

Subsidies:

- Gym memberships: Up to ₹2,000/month (50% subsidy)
- Sports club memberships: Up to ₹5,000/year
- Yoga/wellness classes: In-office sessions free

Company Events:

- Annual sports day: All employees eligible
- Wellness retreat: Annual 1-2 day offsite
- Recreation allowance: ₹3,000-5,000 per year

4.5.2 Festival & Celebration Allowances

Diwali Bonus: ₹5,000-15,000 based on salary

Holi Bonus: ₹3,000-10,000

New Year Bonus: ₹2,000-5,000

Distribution: In December (Diwali), March (Holi), January (New Year)

4.5.3 Employee Discount Programs

Retail Partnerships: 10-25% discount on partner stores

Travel: 10-15% discount on airline tickets, hotel bookings

Entertainment: Movie ticket discounts, concert/event access

Dining: Restaurant discounts in company cafeteria

4.6 Commute & Relocation Benefits

4.6.1 Transportation Benefits

In-Office Shuttles: Free pickup/drop for eligible employees

Public Transport: Monthly pass subsidy (50% of cost)

Cab Services: Company authorized cab provider at reduced rates

Parking: Free parking at office premises (where available)

Fuel/EV Charging: Reimbursement for commute costs

4.6.2 Relocation Assistance

Eligibility: Transfer to new location or new hire

Assistance Covers:

- Transportation of household goods: Full cost
- Rental deposit: Up to 3 months rent
- Temporary accommodation: ₹5,000/month for 3 months
- School search support: For relocating families
- Visa/documentation assistance

Maximum Amount: Up to 3 months basic salary

4.7 Professional Development & Learning

4.7.1 Training & Certification Budget

Annual Allocation: ₹15,000-50,000 based on role

Eligible Expenses:

- Online courses (Coursera, Udemy, etc.)
- Professional certifications (AWS, Azure, PMP, etc.)
- Conference/workshop attendance
- Executive education programs

Approval Process:

- Submit request to manager with course details
- HR approval based on relevance to role
- Post-training report required
- Knowledge-sharing session with team (for major programs)

4.7.2 Education Reimbursement

Eligibility: Employees pursuing higher education

Coverage: Tuition fees, books, examination fees

Maximum: ₹1,00,000 per financial year

Conditions:

- Course must be relevant to professional development
- Minimum GPA/performance maintained
- Service bond: 1 year post-graduation

4.7.3 Sabbatical & Study Leave

Eligibility: Employees with 5+ years service

Duration: 3-6 months (unpaid)

Purpose: Further education, research, personal development

Job Protection: Position reserved upon return

Benefits: Health insurance continues

5. CODE OF CONDUCT & WORKPLACE POLICIES

5.1 Code of Conduct

5.1.1 Core Values & Principles

All employees are expected to uphold:

Integrity: Act honestly and ethically in all dealings

Respect: Treat all with dignity and equal consideration

Accountability: Take responsibility for actions and decisions

Excellence: Deliver quality work and continuous improvement

Collaboration: Work together toward shared goals

Innovation: Encourage creative thinking and improvement

5.1.2 Expected Workplace Behavior

Professional Conduct:

- Maintain punctuality and regular attendance
- Complete assigned work diligently and on time
- Communicate respectfully with colleagues and leadership
- Maintain confidentiality of sensitive information
- Comply with safety and security protocols
- Report unethical behavior through proper channels

Dress Code:

- **Business Formal (Default):** Shirt/blouse + trousers/skirt + formal shoes
- **Business Casual (Specified Days):** Closed shoes, collared shirt/top, neat appearance
- **Casual Fridays:** Jeans permitted with decent top; no slogans or graphics
- **Client-Facing:** Business formal required
- **Remote Work:** Professional appearance for video calls
- **Exceptions:** Approved by manager for personal/medical reasons

Use of Company Resources:

- IT systems, email, internet: Business purposes primarily
- Limited personal use: Permitted during breaks
- No illegal downloads, file sharing, or inappropriate content
- Social media: Professional behavior standards apply
- Company data: Confidential handling mandatory
- Physical assets: Proper care and maintenance required

5.1.3 Prohibited Conduct

Strict Prohibitions:

- Harassment (sexual, verbal, physical, psychological)
- Discrimination based on protected characteristics
- Violence or threats of violence
- Theft or misappropriation of company property
- Fraud or intentional misrepresentation
- Substance abuse or being under influence at work

- Dishonest/unethical conduct with customers or partners
- Conflict of interest without disclosure
- Breach of confidentiality or IP theft
- Violation of safety protocols
- Insubordination or willful disobedience
- Attendance fraud or time theft
- Any form of bribery or corruption

Consequences: Written warning, suspension, or termination (per severity)

5.2 Anti-Harassment & Anti-Discrimination Policy

5.2.1 Sexual Harassment Policy (Compliant with POSH Act)

Scope: Applies to all employees, contractors, visitors

Zero Tolerance: Any form of sexual harassment will not be tolerated

Prohibited Conduct:

- Unwelcome sexual advances or requests for sexual favors
- Verbal or written abuse of sexual nature
- Gestures, touching, or remarks of sexual nature
- Display of sexually explicit material
- Stalking, cyber-harassment, or unwanted contact
- Any conduct creating hostile work environment

Reporting Procedure:

1. Internal Complaint Committee (ICC):

- 4+ member committee (minimum 50% women)
- President: Woman employee (full-time)
- Members include external expert and HR representative
- Confidential communication channel: icc@company.com
- Toll-free helpline: 1800-XYZ-POSH

2. Complaint Submission:

- Written complaint within 3 months of incident
- Detailed account of incident(s) with dates
- Names of witnesses
- Supporting evidence/documents
- Alternative: Verbal complaint to ICC President

3. Investigation Process:

- Acknowledged within 7 days of receipt
- Investigation completed within 90 days
- Both parties given opportunity to present their case
- Witness interviews conducted separately
- Confidentiality maintained throughout

4. Disciplinary Action:

- Substantiated complaint: Disciplinary action up to termination
- Range: Counseling → Warning → Suspension → Termination
- Based on severity and past conduct
- Appeal mechanism available within 15 days

Protection:

- No retaliation against complainant or witnesses
- Retaliation is separate disciplinary offense
- Job security during investigation
- Transfer options if required

Education & Awareness:

- Annual POSH training for all employees
- Quarterly awareness programs
- Educational materials and resources
- Special sessions during onboarding

5.2.2 Anti-Discrimination Policy

Prohibited Discrimination:

Based on race, color, religion, gender, sexual orientation, gender identity, national origin, age, disability, marital status, veteran status, or any other protected characteristic.

Applies To:

- Hiring, compensation, promotion, training
- Workplace treatment and advancement opportunities
- Termination and separation decisions
- All aspects of employment relationship

Reasonable Accommodations:

- Medical condition: Modified work schedule
- Disability: Accessible facilities, assistive technology
- Religious practice: Schedule adjustments, space allocation
- Pregnancy: Flexible work arrangements, modified duties
- Lactation: Designated lactation space, flexible break times

Grievance Process:

- Report to direct manager or HR
- Documented and investigated within 30 days
- Remedial action taken if substantiated
- No retaliation policy applies

5.3 Attendance & Punctuality

5.3.1 Working Hours

Standard Hours: 9:00 AM to 6:00 PM, Monday to Friday (40 hours/week)

Lunch Break: 1 hour (unpaid)

Office Timing: Core hours 10:00 AM to 4:00 PM (flexible entry/exit)

Flexible Work Options:

- Flex timing (within 1-2 hour window)
- 4-day work week (compressed schedule)
- Work from home (up to 3 days/week for eligible roles)
- Part-time arrangements (documented separately)

5.3.2 Attendance Expectations

In-Office Days: Minimum 3 days per week for WFH-eligible employees

Biometric Attendance: Mandatory at office locations

Remote Check-In: 9:15 AM status email for WFH employees

Meeting Presence: Required for team standup and scheduled calls

Tardiness:

- 0-5 minutes: Not counted against record
- 5-30 minutes: Marked late (entry in system)
- 30+ minutes: Half-day absence
- 4+ late marks in month: Escalation to manager

5.3.3 Absence Management

Authorized Absences: Leave, approved WFH, documented medical absence

Unauthorized Absences:

- 1 day: Requires explanation from manager
- 2-3 days: Treated as leave (or violation if no leave balance)
- 4+ days: AWOL (Absent Without Leave) - disciplinary action

AWOL Consequences:

- Day 4: Written warning + automatic leave (if available)
- Day 8: Final warning + disciplinary hearing
- Day 10: Grounds for termination
- Termination Notice: 1 week provided before final termination

5.3.4 Work-From-Home Policy

Eligibility: Roles not requiring daily office presence (Tech, Finance, HR, etc.)

Frequency: Up to 3 days per week (manager approval required)

Notice: Minimum 1 day advance notice

Expectations:

- Responsive during work hours (9 AM - 6 PM)
- Attend required office/team meetings (in-office)
- Meeting deadlines and deliverables
- Security protocols followed (VPN, secure connection)
- Professional environment for video calls

Core Office Days: Tuesday-Thursday (or as determined by team)

Performance Impact: No negative impact on appraisal due to WFH

6. PERFORMANCE MANAGEMENT & CAREER DEVELOPMENT

6.1 Performance Management System

6.1.1 Performance Appraisal Process

Frequency: Annual (primary) + Mid-year review

Timeline:

- December: Goal setting for next fiscal year
- March: Mid-year 180-degree feedback
- August-September: Mid-year adjustments
- November: Annual review initiation
- December: Annual appraisal completion and calibration

Appraisal Components:

1. Individual Contributions (40%):

- Goals achievement rate (0-100%)
- Quality of work
- Timeliness and delivery
- Knowledge/skill demonstration

2. Competency Assessment (30%):

- Technical competencies (role-specific)
- Leadership competencies (communication, decision-making)
- Soft skills (collaboration, adaptability)
- Core values alignment

3. 360-Degree Feedback (20%):

- Manager feedback (mandatory)
- Peer feedback (2-3 peers)
- Direct report feedback (if applicable)
- Cross-functional feedback (if applicable)

4. Overall Contribution (10%):

- Business impact
- Innovation and improvement suggestions
- Organizational citizenship
- Customer satisfaction (if applicable)

6.1.2 Performance Ratings & Distribution

Rating Scale:

Rating	Label	Percentage	Action
5	Exceeds Expectations	0-10%	Promotion/Fast-track
4	Meets Expectations	40-50%	Salary increase 8-12%
3	Competency Achieved	35-45%	Salary increase 4-6%
2	Below Expectations	5-10%	PIP/Improvement needed
1	Unacceptable	0-2%	PIP/Separation

Bell Curve Distribution (Normalized):

- Top performers (Rating 5): Max 10% of population
- Strong performers (Rating 4): 40-50% of population
- Average performers (Rating 3): 35-45% of population
- Underperformers (Rating 2-1): 5-10% of population

Rationale: Forces managers to differentiate performance and identify high potentials

6.1.3 Feedback & Discussion Process

Manager Preparation:

- Review individual's goals and achievements
- Analyze 360-degree feedback
- Document specific examples (behavioral)
- Consider context and circumstances

Appraisal Meeting:

1. **Opening:** Create safe, open discussion environment
2. **Self-Assessment:** Employee shares self-evaluation
3. **Manager Feedback:** Specific observations and examples
4. **Development Areas:** Constructive discussion of growth opportunities
5. **Career Conversation:** Discuss aspirations and development plans
6. **Rating Discussion:** Transparent explanation of final rating
7. **Closing:** Next steps and commitment to development

Documentation:

- Formal appraisal report submitted to HR within 3 days
- Employee acknowledgment signature (may note disagreement)
- Grievance option available within 15 days

6.1.4 Appeal Mechanism

Timeline: Within 15 days of appraisal discussion

Process:

- Written appeal to HR Manager with specific concerns
 - Senior manager review (skip-level manager)
 - Recalibration meeting if justified
 - Final decision within 10 days
 - Outcome communicated to employee
-

7. WORKPLACE SAFETY & COMPLIANCE

7.1 Occupational Health & Safety

7.1.1 Safety Standards

Responsibility:

- Management: Provide safe workplace and equipment
- Employees: Follow safety protocols and report hazards
- Supervisors: Enforce compliance and conduct training

Safety Requirements:

- Proper ergonomic setup for desk workers
- PPE (Personal Protective Equipment) in hazardous areas
- Regular equipment maintenance
- Emergency exit routes clearly marked
- First aid kit accessible in office
- Fire extinguishers in designated locations

7.1.2 Incident Reporting & Investigation

Reporting Procedure:

- Immediately inform supervisor of any incident
- Report to Safety Officer or HR
- Formal incident report filed within 24 hours
- No retaliation for good-faith reporting

Investigation Process:

- HR conducts investigation within 5 days
- Root cause analysis
- Corrective action plan developed
- Follow-up to verify effectiveness
- Records maintained for compliance

Near-Miss Reporting: Encouraged to prevent future incidents

7.2 COVID-19 & Health Emergency Protocols

7.2.1 Health Safety Measures

Office Entry:

- Health screening: Temperature check or self-declaration
- Vaccination status: Current employees continue normal work
- Symptomatic employees: Directed to work from home
- Quarantine: As per government guidelines

Workplace Measures:

- Sanitization: Daily office cleaning and high-touch surface sanitization
- Social Distancing: Maintained in common areas (where possible)
- Masks: Optional in office; required in common areas
- Isolation: Separate room available for symptomatic individuals

Leave Provisions:

- COVID-19 positive: Additional leave beyond sick leave entitlement
 - Isolation: Approved as paid leave
 - Post-COVID recovery: Support provided (doctor's advice)
-

8. SEPARATION & TERMINATION POLICY

8.1 Resignation & Voluntary Separation

8.1.1 Notice Period

Full-time Employees:

- First 2 years: 15 days notice
- 2-5 years: 30 days notice
- 5+ years: 60 days notice

Contractual/Probationary Employees:

- 5-7 days notice (as per contract)

Notice Submission:

- Formal letter to direct manager
- Copy to HR department
- Effective date of resignation clearly stated
- Reason for resignation (optional)

8.1.2 During Notice Period

Responsibilities:

- Complete assigned work and projects
- Knowledge transfer to replacement
- Maintain professional conduct
- Attend exit interview

- Return all company assets

Management Responsibilities:

- Document institutional knowledge
- Identify replacement/interim coverage
- Approve final leave if requested
- Arrange exit checklist completion

8.1.3 Exit Process

Exit Checklist:

- ☐ All outstanding leave/overtime settled
- ☐ Final salary processed
- ☐ Benefits termination documented
- ☐ Company assets returned (laptop, ID, access cards)
- ☐ Email and system access disabled
- ☐ Full and final settlement calculated
- ☐ Exit interview conducted
- ☐ Separation letter issued
- ☐ Experience certificate issued
- ☐ Reference check authorization (if applicable)

8.2 Termination by Company

8.2.1 Termination for Cause

Grounds for Immediate Termination:

- Gross misconduct (theft, violence, fraud)
- Serious violation of code of conduct
- Sexual harassment or discrimination
- Unauthorized absence (10+ days AWOL)
- Being under influence at work
- Gross insubordination
- Serious breach of confidentiality

Process:

1. Incident documented
2. Investigation conducted (if applicable)
3. Employee given opportunity to explain
4. Disciplinary decision taken
5. Termination letter issued immediately
6. Notice period: None (unless mutual agreement)

Full & Final Settlement:

- Basic salary up to separation date
- Earned leave encashed
- Unused casual leave: Up to policy limit
- Sick leave: Not encashed (retention incentive)
- Gratuity: Not payable (except for age 60+)

- Bonus: Prorated if terminated mid-year

8.2.2 Termination Without Cause (Redundancy)

Grounds:

- Position eliminated due to restructuring
- Business downsizing
- Technology automation
- Cost reduction initiatives

Notice Requirements:

- 60 days advance notice (or salary in lieu)
- Consultation with affected employees
- Notification of reason and effective date

Severance Package:

- Full notice period salary (or salary in lieu)
- Gratuity: Per applicable law (5+ years service)
- Earned leave encashment
- Medical insurance: Extended for 3 months
- Outplacement assistance (limited)
- Reference letter provided
- Experience certificate provided

Calculation Example:

- Tenure: 8 years
- Last basic salary: ₹60,000/month
- Notice period: 60 days
- Severance calculation:
 - 60 days notice salary: ₹1,20,000
 - Gratuity: $(60,000 \times 8) / 2 = ₹2,40,000$
 - Earned leave (10 days): ₹20,000
 - **Total Severance:** ₹3,80,000

8.3 Retirement

8.3.1 Retirement Policy

Retirement Age: 60 years (mandatory)

Early Retirement: From age 55 years (voluntary, subject to approval)

Process:

- 3 months advance notice to HR
- Exit interview conducted
- Knowledge transfer completed
- Exit benefits calculated and settled

Retirement Benefits:

- All earned leave encashed

- Gratuuity paid in full
- Provident fund paid
- Pension/superannuation (if applicable)
- Group insurance continued until actual retirement date

8.3.2 Post-Retirement Options

- **Medical Insurance:** Can continue group plan (self-paid) for 3 years
- **Alumni Network:** Access to company alumni community
- **Consulting:** Eligibility for rehire as consultant (subject to approval)

9. GENERAL POLICIES

9.1 Confidentiality & Intellectual Property

9.1.1 Confidential Information

Definition: Information not publicly known that provides competitive advantage

Includes:

- Client lists and pricing
- Technical specifications and designs
- Source code and algorithms
- Business strategies and plans
- Financial information
- Employee records
- Marketing plans and campaigns

Obligations:

- Employees must maintain strict confidentiality
- No disclosure to unauthorized persons
- No use for personal benefit
- Survives employment termination indefinitely

Exceptions:

- Disclosure required by law (legal process, government request)
- Public domain information
- Information disclosed with written authorization

9.1.2 Intellectual Property Rights

All Work Product Owned by Company:

- Software code and applications
- Documentation and designs
- Creative works and materials
- Improvements and innovations
- Inventions developed during employment

Work for Hire: Company owns all IP created using company resources, during work hours, or related to company business.

Independent Inventions:

- If developed entirely on own time using own resources
- Not using company confidential information
- Must be disclosed to company in writing
- Company has 30-day option to claim ownership

Patent Protection:

- Company files patents for significant inventions
- Employee acknowledged as inventor (on patent)
- IP compensation: Considered in performance bonuses

9.2 Compliance & Government Reporting

9.2.1 Statutory Compliance

Payroll Compliance:

- TDS (Tax Deducted at Source) deducted monthly
- Professional tax deposited as per state rules
- Annual Form 16 issued by January 31
- TDS reconciliation with Income Tax Department

Provident Fund Compliance:

- Monthly contributions deposited by 15th of following month
- Annual statement provided by March 31
- UAN linked with AADHAR
- Exit clearance certificate issued on separation

Labor Law Compliance:

- Factory registration and license (where applicable)
- Annual returns filed
- Safety audit conducted
- Inspections conducted as required

9.2.2 Data Privacy & GDPR

Employee Data:

- Personal information collected: Name, contact, address, bank details, family information
- Data stored securely with encryption
- Access restricted to authorized personnel
- Retention: During employment + 3 years post-separation
- DPIA (Data Protection Impact Assessment) conducted
- Right to access, correct, and delete data (with legitimate exceptions)
- No sharing with third parties without consent (except legal requirement)

9.3 Training & Development Programs

9.3.1 Mandatory Training

All Employees:

- Induction training (first week)
- Code of conduct training (annually)
- Safety training (annually)
- POSH training (annually)
- Data security training (annually)
- Compliance training (as required)

Role-Specific:

- Technical training: For technical roles
- Leadership training: For managers
- Customer service training: For client-facing roles
- Functional training: For departmental processes

9.3.2 Learning & Development Opportunities

Internal Development:

- Mentorship programs: 1-year structured programs
- Lunch-and-learn sessions: Monthly
- Cross-functional project exposure
- Stretch assignments
- Shadow programs with senior leaders

External Development:

- Conference attendance: Approved training budget
- Professional certifications: Supported with cost and time
- Online courses: Udemy, Coursera, Pluralsight access
- MBA/Higher Education: Financial support available (conditional)

10. GRIEVANCE REDRESSAL & DISPUTE RESOLUTION

10.1 Grievance Policy

10.1.1 Grievance Definition & Scope

Grievance: Any discontent or dissatisfaction related to:

- Terms of employment (salary, benefits, leave)
- Treatment by management or colleagues
- Working conditions and safety
- Discrimination or favoritism
- Disciplinary action perceived as unfair
- Promotion/transfer decisions
- Policy interpretation or application

Not Included:

- Opinions on company strategy
- Feedback on organizational decisions (addressed through other channels)
- General workplace conditions (addressed through surveys)

10.1.2 Grievance Procedure (Three-Tier)

TIER 1: Direct Manager (Informal)

- Approach manager within 5 days of incident
- Verbal discussion to resolve issue
- Simple, quick resolution for minor issues
- No formal documentation required
- Resolution within 3-5 working days
- If resolved: Case closed with documented agreement

TIER 2: Grievance Committee (Formal)

- Submit written grievance to HR if Tier 1 unsuccessful
- Completed within 7 days of Tier 1 resolution attempt
- Should include: Date, incident details, people involved, resolution sought
- Grievance Committee composition:
 - HR Manager (Chair)
 - Employee's skip-level manager
 - Department head
 - One peer representative (employee-nominated)
- Process:
 1. Acknowledgment within 2 days of submission
 2. Investigation conducted (interviews, document review)
 3. Both parties heard separately
 4. Witnesses interviewed if necessary
 5. Decision within 15 days of submission
 6. Written outcome provided to employee

TIER 3: Internal Appeal (Escalation)

- If unsatisfied with Tier 2 decision
- Appeal to HR Director within 7 days
- Full reconsideration of grievance
- Outside mediator brought in if necessary
- Final decision within 15 days
- Binding decision (unless legal intervention)

10.1.3 Protection & Anti-Retaliation

No Retaliation Policy:

- No adverse action against grievant or witnesses
- No change in working conditions, salary, or promotion prospects
- No discrimination or hostility post-grievance
- Violation of anti-retaliation = separate disciplinary case
- Can result in termination

Confidentiality:

- Grievance and investigation details kept confidential
- Shared only on need-to-know basis
- Records stored securely in HR files

- All grievances documented in register
- Investigation reports filed
- Outcome letters issued
- 3-year retention period
- Quarterly review by HR and senior management

Industrial Tribunal/Labor Court:

- After exhausting internal resolution
- For legal rights interpretation
- For wrongful termination claims
- For payment disputes (wages, gratuity, etc.)

Government Labor Department:

- For violations of labor laws
 - Inspection requests
 - Complaint filing for illegal practices
-

Pregnancy Support:

- Flexible work hours during pregnancy
- Exemption from night shifts
- Frequent medical appointment leaves (paid)
- Comfortable seating and breaks

Post-Maternity Support:

- Flexible return-to-work arrangements
- Part-time work for 6 months (if desired)
- Lactation breaks (30 minutes × 2 per day)
- Childcare support: Daycare subsidy (₹5,000-10,000/month)

Paternity Support:

- Flexible work arrangement for 3 months post-birth

11.1.2 Adoption & Surrogacy Leave

Adoption:

- 12 weeks paid leave (similar to maternity)
- Naturalization and legal fees supported
- Medical insurance for child from day 1

Surrogacy:

- Commissioning parent: 6 weeks paid leave
- Fertility treatment support: Covered under health insurance

11.2 Persons with Disabilities

11.2.1 Inclusive Hiring & Workplace

Recruitment:

- Minimum 3% positions reserved for persons with disabilities (PWD)
- Reasonable accommodations provided during hiring process

Workplace Modifications:

- Ramps and accessible facilities
- Accessible parking (reserved)
- Assistive technology (screen readers, hearing aids, etc.)
- Flexible work arrangements
- Job redesign if necessary
- Peer support systems

Advancement:

- Equal opportunity for promotion and training
- Mentorship programs tailored to needs
- Career counseling and guidance

11.3 Employee Wellness & Mental Health

11.3.1 Mental Health Support

Access:

- EAP (Employee Assistance Program): Free confidential counseling
- 3 free sessions per employee per year (family members eligible)
- 24/7 helpline available
- Referral to external therapists if needed

Awareness & Prevention:

- Mental health literacy programs
- Stress management workshops
- Work-life balance initiatives
- Burnout prevention training

Workplace Practices:

- Workload management expectations
- Reasonable performance targets
- Flexible schedules for managing mental health
- No stigma for mental health absences

11.3.2 Substance Abuse & Rehabilitation

Policy:

- No tolerance for substance abuse at workplace
- Testing: For-cause testing after incident
- Privacy protected during testing and results

Support:

- Employees seeking help offered rehabilitation
- Paid leave for treatment (up to 3 months)
- Job protection during rehabilitation
- Successful recovery: Reinstatement considered

12. POLICY AMENDMENTS & REVIEW CYCLE

12.1 Policy Review & Updates

Annual Review:

- January-February: Comprehensive policy review
- Feedback from employee surveys and grievance analysis
- Legal/regulatory changes assessment
- Market benchmark review
- Amendment drafting and internal consultation

Amendment Process:

- Draft submitted to HR leadership
- Employee representatives consulted
- Legal review conducted
- Communication to all employees
- Effective date: Minimum 30 days from notification
- Acknowledgment: All employees sign updated policy

Emergency Amendments:

- Urgent legal changes: Effective immediately with communication
- Guidance issued via email and HR portal
- Formal policy update within 15 days

12.2 Policy Administration

HR Department Responsibility:

- Policy dissemination and training
- Consistent application across organization
- Exception handling and approvals
- Record maintenance and documentation
- Regular review and compliance monitoring

Escalation Path for Ambiguities:

- HR Manager → HR Director → CHRO → CEO

13. DOCUMENT INFORMATION & ACKNOWLEDGMENT

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Effective From: February 1, 2026

Review Date: January 31, 2027

Document Owner: Chief Human Resources Officer

Last Updated: February 2026

Acknowledgment Required: All employees must acknowledge receipt and understanding of this policy. Signatures/digital acknowledgment retained in personnel files.

Disclaimer: This policy manual is intended to provide general guidance. In cases of conflict with statutory requirements or individual employment contracts, statutory provisions and employment contracts will take precedence. The organization reserves the right to modify, update, or discontinue policies with 30 days' notice.

Contact for Queries:

- HR Department: hr@company.com
- HR Helpline: +91-XXXX-XXXX-XXXX
- Toll-free: 1800-XXX-XXXX
- Physical Office: [Company Address]

END OF DOCUMENT

This comprehensive HR Policy Knowledge Base is now ready for ingestion into your vector database for RAG implementation.